

auditors even more cautious.

That's not all. The regulatory focus on auditors has sharpened in recent years with the setting up of the National Financial Reporting Authority (NFRA) in 2018. Its recent orders and circulars also highlight that it is keeping a close tab on auditors. For instance, in October this year, it issued 18 separate orders against branch auditors of DHFL involving a total monetary penalty of ₹18 lakh and debarment ranging from six months to one year "for professional misconduct" and "audit lapses". Earlier, it had banned two auditors for alleged irregularities in the audit of IL&FS Financial Services.

The NFRA is also overseeing a landscape dominated by the Big 5 audit firms: EY, KPMG, Deloitte, Walker Chandio & Co, and Price Waterhouse. Per primeinfobase.com, the Big 5 handled 310 assignments of the 498 Nifty500 companies as on March 31, 2023, or almost two out of every three audits. In terms of all firms whose shares were listed on NSE (main board) as on March 31, 2023, they handled 551 assignments of 1,869 companies (for which auditor details were available for 2022-23; details were not available for 13 companies), or 29.48 per cent of the total.

THE INDEPENDENCE OF AUDITORS

A key issue has always been auditors' independence. "Questions arise over this as the company pays the audit fee to the auditor so how far can they be independent," notes Ameet Patel, Partner, Manohar Chowdhary & Associates, and past president of Bombay Chartered Accountants' Society.

The Company Law Committee had recommended providing a differential list of prohibitions on non-audit services by auditors

BAD APPLES EXIST

▶ Auditors have faced regulatory action in the past for various non-compliance issues

▶ But given the size of the industry, these are few and far between

(Action against auditors/CAs for their roles in serious financial irregularities)

80

Complaints filed by SFIO against auditors with ICAI in the last five years

137

Cases (complaint/information) in which punishment has been awarded by the disciplinary committee* (including those cases, which were referred to the disciplinary committee during the earlier years)

*INCLUDING COMPLAINT AND INFORMATION CASES WHERE ICAI'S DISCIPLINARY COMMITTEE AWARDED PUNISHMENTS IN 2021-22

SOURCE: PARLIAMENT PAPERS, ICAI, NFRA

13

Applications against the auditors u/s 140 (5) of the Companies Act, 2013 before the NCLT for removal and debarment for five-year period in the last five years

25

Debarment orders by NFRA for periods from one to 10 years

56

Orders passed by NFRA against auditors of companies

| 33



"Financial statements that contain misstatements due to fraud or error will never reflect the true state of the companies. The auditors' role is to ensure that financial statements audited by them are free from frauds and errors"

AJAY BHUSHAN PANDEY
CHAIRMAN, NFRA